IB Economics - Topic 2.11: Teacher and AI Grading Guide

Market Failure: Market Power | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions assess HL-only content. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Current IB Topic 2.11 is HL only: perfect competition, monopoly and natural monopoly, oligopoly and monopolistic competition; profit/cost/revenue conditions and calculations; market-power diagrams, concentration ratios, scale/R&D advantages, risks and government responses.

Uploaded older Economics for the IB Diploma market-structure chapters supplement firm diagrams. Current syllabus determines which models and calculations are required.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Perfect competition and profit measures: 1-10

Monopoly and natural monopoly: 11-20

Oligopoly: 21-28

Monopolistic competition: 29-33

Concentration and scale: 34-41

Risks and policy: 42-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Firm axes Q horizontal and price/cost/revenue vertical. Mark AR/D and MR, MC and AC as appropriate. Select Q at MR=MC, read price on AR, and compare AR with AC for profit. PC firm P=D=AR=MR is horizontal. Monopoly welfare loss compares Qm with Q where P=MC. For game theory check payoff incentives.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | HL | 25 marks

Topic 2.11: Perfect competition

(a) [10] Explain why an individual perfectly competitive firm is a price taker.

(b) [15] Using real-world examples, discuss whether a market with many firms must be perfectly competitive.

Part (a) - Indicative answer and marking guidance

Essential concepts. P=D=AR=MR for price-taking firm; profit max at MR=MC and long-run entry tends normal profit.

Required reasoning. Many firms, homogeneous output and free entry prevent individual price control.

Expected diagram or calculation. Firm diagram horizontal P=AR=MR with U-shaped AC and MC; market D/S separately if needed.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes perfect competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Many firms, homogeneous output and free entry prevent individual price control.

Counterargument and conditions. Real markets may violate homogeneous goods and free entry.

Application and real-world example. A local produce market is illustrative.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | HL | 25 marks

Topic 2.11: Perfect competition

(a) [10] Using an appropriate diagram, explain why P=D=AR=MR for a perfectly competitive firm.

(b) [15] Using real-world examples, evaluate the usefulness of perfect competition as a benchmark for real markets.

Part (a) - Indicative answer and marking guidance

Essential concepts. P=D=AR=MR for price-taking firm; profit max at MR=MC and long-run entry tends normal profit.

Required reasoning. Horizontal firm demand at market price; each additional unit earns same MR.

Expected diagram or calculation. Firm diagram horizontal P=AR=MR with U-shaped AC and MC; market D/S separately if needed.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes perfect competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Horizontal firm demand at market price; each additional unit earns same MR.

Counterargument and conditions. Real markets may violate homogeneous goods and free entry.

Application and real-world example. A local produce market is illustrative.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | HL | 25 marks

Topic 2.11: Perfect competition

(a) [10] Using appropriate diagrams, explain how short-run abnormal profit may attract entry and change a perfectly competitive firm's long-run outcome.

(b) [15] Using real-world examples, discuss whether free entry always removes abnormal profits quickly.

Part (a) - Indicative answer and marking guidance

Essential concepts. P=D=AR=MR for price-taking firm; profit max at MR=MC and long-run entry tends normal profit.

Required reasoning. Entry shifts market supply right, P falls until normal profit if assumptions hold.

Expected diagram or calculation. Firm diagram horizontal P=AR=MR with U-shaped AC and MC; market D/S separately if needed.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes perfect competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Entry shifts market supply right, P falls until normal profit if assumptions hold.

Counterargument and conditions. Real markets may violate homogeneous goods and free entry.

Application and real-world example. A local produce market is illustrative.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | HL | 25 marks

Topic 2.11: Perfect competition

(a) [10] Using an appropriate diagram, explain how a perfectly competitive firm can continue producing with a short-run loss.

(b) [15] Using real-world examples, evaluate whether firms with losses should always exit immediately.

Part (a) - Indicative answer and marking guidance

Essential concepts. P=D=AR=MR for price-taking firm; profit max at MR=MC and long-run entry tends normal profit.

Required reasoning. P below AC but above AVC can cover variable and some fixed cost temporarily.

Expected diagram or calculation. Firm diagram horizontal P=AR=MR with U-shaped AC and MC; market D/S separately if needed.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes perfect competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. P below AC but above AVC can cover variable and some fixed cost temporarily.

Counterargument and conditions. Real markets may violate homogeneous goods and free entry.

Application and real-world example. A local produce market is illustrative.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | HL | 25 marks

Topic 2.11: Perfect competition

(a) [10] Using an appropriate diagram, explain why P=MC at the allocatively efficient competitive output.

(b) [15] Using real-world examples, discuss whether observing many firms is sufficient to establish allocative efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. P=D=AR=MR for price-taking firm; profit max at MR=MC and long-run entry tends normal profit.

Required reasoning. Firm chooses MR=MC and MR=P; price measures MB under model.

Expected diagram or calculation. Firm diagram horizontal P=AR=MR with U-shaped AC and MC; market D/S separately if needed.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes perfect competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Firm chooses MR=MC and MR=P; price measures MB under model.

Counterargument and conditions. Real markets may violate homogeneous goods and free entry.

Application and real-world example. A local produce market is illustrative.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | HL | 25 marks

Topic 2.11: Profit measures

(a) [10] Given total revenue of $1200 and total cost of $950, calculate economic profit and explain what it indicates.

(b) [15] Using real-world examples, discuss whether positive profit means a firm has significant market power.

Part (a) - Indicative answer and marking guidance

Essential concepts. Economic profit=TR-TC; AR=TR/Q, AC=TC/Q, MR=change TR/change Q, MC=change TC/change Q.

Required reasoning. TR-TC=$250 assuming relevant opportunity costs included; competition can yield short-run profit.

Expected diagram or calculation. Firm diagram AR/AC/MR/MC, choose Q at MR=MC, compare AR with AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes profit measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. TR-TC=$250 assuming relevant opportunity costs included; competition can yield short-run profit.

Counterargument and conditions. Profit, revenue and market power are distinct.

Application and real-world example. A firm annual report supplies possible context; numeric data here are hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | HL | 25 marks

Topic 2.11: Profit measures

(a) [10] At 20 units, total cost is $200; at 21 units, total cost is $212. Calculate marginal cost and explain its use in output choice.

(b) [15] Using real-world examples, evaluate whether average cost alone identifies profit-maximising output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Economic profit=TR-TC; AR=TR/Q, AC=TC/Q, MR=change TR/change Q, MC=change TC/change Q.

Required reasoning. MC=$12 additional cost; compare MR of next unit.

Expected diagram or calculation. Firm diagram AR/AC/MR/MC, choose Q at MR=MC, compare AR with AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes profit measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. MC=$12 additional cost; compare MR of next unit.

Counterargument and conditions. Profit, revenue and market power are distinct.

Application and real-world example. A firm annual report supplies possible context; numeric data here are hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | HL | 25 marks

Topic 2.11: Profit measures

(a) [10] At 30 units, total revenue is $900; at 31 units it is $925. Calculate marginal revenue and explain its role.

(b) [15] Using real-world examples, discuss whether a higher selling price always increases marginal revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. Economic profit=TR-TC; AR=TR/Q, AC=TC/Q, MR=change TR/change Q, MC=change TC/change Q.

Required reasoning. MR=$25 extra revenue, not average revenue or final price.

Expected diagram or calculation. Firm diagram AR/AC/MR/MC, choose Q at MR=MC, compare AR with AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes profit measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. MR=$25 extra revenue, not average revenue or final price.

Counterargument and conditions. Profit, revenue and market power are distinct.

Application and real-world example. A firm annual report supplies possible context; numeric data here are hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | HL | 25 marks

Topic 2.11: Profit measures

(a) [10] Explain the differences among average revenue, average cost and marginal cost.

(b) [15] Using real-world examples, evaluate whether a price above average cost ensures a firm is maximising profit.

Part (a) - Indicative answer and marking guidance

Essential concepts. Economic profit=TR-TC; AR=TR/Q, AC=TC/Q, MR=change TR/change Q, MC=change TC/change Q.

Required reasoning. AR=TR/Q=P, AC=TC/Q, MC=delta TC/delta Q; positive unit margin not max condition.

Expected diagram or calculation. Firm diagram AR/AC/MR/MC, choose Q at MR=MC, compare AR with AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes profit measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AR=TR/Q=P, AC=TC/Q, MC=delta TC/delta Q; positive unit margin not max condition.

Counterargument and conditions. Profit, revenue and market power are distinct.

Application and real-world example. A firm annual report supplies possible context; numeric data here are hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | HL | 25 marks

Topic 2.11: Profit measures

(a) [10] Using an appropriate diagram, explain the conditions for abnormal profit, normal profit and loss at a firm's chosen output.

(b) [15] Using real-world examples, discuss whether a firm can pursue other objectives despite an opportunity for abnormal profit.

Part (a) - Indicative answer and marking guidance

Essential concepts. Economic profit=TR-TC; AR=TR/Q, AC=TC/Q, MR=change TR/change Q, MC=change TC/change Q.

Required reasoning. At MR=MC, AR above/equal/below AC identifies profit category.

Expected diagram or calculation. Firm diagram AR/AC/MR/MC, choose Q at MR=MC, compare AR with AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes profit measures from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At MR=MC, AR above/equal/below AC identifies profit category.

Counterargument and conditions. Profit, revenue and market power are distinct.

Application and real-world example. A firm annual report supplies possible context; numeric data here are hypothetical.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Explain how high barriers to entry can give one firm substantial market power.

(b) [15] Using real-world examples, discuss whether a single dominant firm can maintain high prices indefinitely.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. Rivals cannot easily enter; firm faces downward demand and chooses price/quantity.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rivals cannot easily enter; firm faces downward demand and chooses price/quantity.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Using an appropriate diagram, explain how a monopolist chooses profit-maximising output and price.

(b) [15] Using real-world examples, evaluate whether a monopolist necessarily earns abnormal profit.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. Choose MR=MC, then price on AR/D; AC determines profit/loss.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Choose MR=MC, then price on AR/D; AC determines profit/loss.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Using an appropriate diagram, explain how monopoly can cause allocative inefficiency relative to perfect competition.

(b) [15] Using real-world examples, discuss whether all monopoly output restrictions harm consumers by the same amount.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. MR=MC produces Qm<Qc where P=MC, with Pm>Pc and welfare loss.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. MR=MC produces Qm<Qc where P=MC, with Pm>Pc and welfare loss.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Explain why marginal revenue lies below average revenue for a single-price monopolist.

(b) [15] Using real-world examples, evaluate whether a monopolist can raise total revenue without raising price.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. To sell extra unit lower price applies to previous units, so MR<AR.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. To sell extra unit lower price applies to previous units, so MR<AR.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Using an appropriate diagram, explain how a monopolist can incur losses despite its market power.

(b) [15] Using real-world examples, discuss whether market power guarantees long-run profitability.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. At MR=MC, AR below AC means loss despite control over price.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At MR=MC, AR below AC means loss despite control over price.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Explain the difference between monopoly as a market structure and monopoly profit as an outcome.

(b) [15] Using real-world examples, evaluate whether a dominant firm's profits prove it is a monopoly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. One/dominant seller with barriers is structure; profit depends on demand and costs.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. One/dominant seller with barriers is structure; profit depends on demand and costs.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | HL | 25 marks

Topic 2.11: Monopoly

(a) [10] Using appropriate diagrams, explain the welfare loss caused by monopoly output restriction compared with a competitive benchmark.

(b) [15] Using real-world examples, discuss whether a higher monopoly price alone measures the entire loss to society.

Part (a) - Indicative answer and marking guidance

Essential concepts. Dominant firm with high entry barriers faces downward AR and MR below it; Q at MR=MC, price on AR.

Required reasoning. Between Qm and Qc, MB>D price exceeds MC, lost trades form triangle.

Expected diagram or calculation. Firm P/cost vertical and Q horizontal, AR down, MR below, MC/AC, Qm at MR=MC; welfare triangle between Qm and competitive Q where P=MC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Between Qm and Qc, MB>D price exceeds MC, lost trades form triangle.

Counterargument and conditions. Costs determine profit; scale and innovation may create benefits.

Application and real-world example. UK CMA digital-market investigations are a competition context, not a claim of guilt.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | HL | 25 marks

Topic 2.11: Natural monopoly

(a) [10] Explain why falling average costs over relevant output can make one firm the lowest-cost supplier.

(b) [15] Using real-world examples, discuss whether natural monopoly always justifies public ownership.

Part (a) - Indicative answer and marking guidance

Essential concepts. Falling AC over relevant market demand makes one firm lower-cost; MC below AC.

Required reasoning. Economies of scale across market demand make duplication costly; ownership is separate choice.

Expected diagram or calculation. AC declining over market demand, MC below AC, AR demand; mark P=MC below AC if relevant.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes natural monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Economies of scale across market demand make duplication costly; ownership is separate choice.

Counterargument and conditions. Regulation and ownership can be preferable to unrestricted pricing.

Application and real-world example. A named water or utility network with evidence.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | HL | 25 marks

Topic 2.11: Natural monopoly

(a) [10] Using an appropriate diagram, explain the relationship among average cost, marginal cost and demand in a natural monopoly.

(b) [15] Using real-world examples, evaluate whether forcing price equal to marginal cost would be financially sustainable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Falling AC over relevant market demand makes one firm lower-cost; MC below AC.

Required reasoning. AC falls over market demand, MC below AC; P=MC may leave revenue below total cost.

Expected diagram or calculation. AC declining over market demand, MC below AC, AR demand; mark P=MC below AC if relevant.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes natural monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. AC falls over market demand, MC below AC; P=MC may leave revenue below total cost.

Counterargument and conditions. Regulation and ownership can be preferable to unrestricted pricing.

Application and real-world example. A named water or utility network with evidence.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | HL | 25 marks

Topic 2.11: Natural monopoly

(a) [10] Explain why competition between duplicated networks can raise total costs.

(b) [15] Using real-world examples, discuss whether competition is desirable in every infrastructure market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Falling AC over relevant market demand makes one firm lower-cost; MC below AC.

Required reasoning. Parallel fixed networks may forgo scale economies; compare actual market extent.

Expected diagram or calculation. AC declining over market demand, MC below AC, AR demand; mark P=MC below AC if relevant.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes natural monopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Parallel fixed networks may forgo scale economies; compare actual market extent.

Counterargument and conditions. Regulation and ownership can be preferable to unrestricted pricing.

Application and real-world example. A named water or utility network with evidence.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Explain why oligopolistic firms are interdependent in their pricing decisions.

(b) [15] Using real-world examples, discuss whether each firm can choose its price independently of rivals.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Few firms consider expected rival reactions and potential price war.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Few firms consider expected rival reactions and potential price war.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Explain how a price war can emerge when one oligopolist cuts price.

(b) [15] Using real-world examples, evaluate whether consumers always benefit from a price war.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Rivals match cuts to protect share; short-term lower P, longer-run sustainability uncertain.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rivals match cuts to protect share; short-term lower P, longer-run sustainability uncertain.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Explain why firms in an oligopoly may prefer collusion to price competition.

(b) [15] Using real-world examples, discuss whether collusion necessarily remains stable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Joint output restriction can lift prices/profits but each firm can cheat.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Joint output restriction can lift prices/profits but each firm can cheat.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Using a simple payoff matrix, explain the incentive for oligopolists to cheat on a collusive agreement.

(b) [15] Using real-world examples, evaluate whether an agreement eliminates the risk of a price war.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Each may gain by undercutting while others keep price high; mutual cheating lowers payoffs.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Each may gain by undercutting while others keep price high; mutual cheating lowers payoffs.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Using an appropriate diagram, explain how a collusive oligopoly can act like a monopoly.

(b) [15] Using real-world examples, discuss whether collusion has the same effects in every oligopoly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Joint MR=MC output and higher AR price if cartel enforces restriction.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Joint MR=MC output and higher AR price if cartel enforces restriction.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Explain why non-price competition may be attractive to oligopolists.

(b) [15] Using real-world examples, evaluate whether advertising and quality competition benefit consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Product features and service can attract buyers without immediate price cuts.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Product features and service can attract buyers without immediate price cuts.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Explain how concentration ratios can be used to identify a potentially oligopolistic market.

(b) [15] Using real-world examples, discuss whether concentration alone proves collusion.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Sum shares of largest firms; structure suggests interdependence but conduct needs evidence.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sum shares of largest firms; structure suggests interdependence but conduct needs evidence.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | HL | 25 marks

Topic 2.11: Oligopoly

(a) [10] Explain why the risk of entry can discipline an oligopolist even in a concentrated market.

(b) [15] Using real-world examples, evaluate whether high concentration always implies strong market power.

Part (a) - Indicative answer and marking guidance

Essential concepts. Few large firms are interdependent; collusion can increase joint profit but cheating and price war threaten it.

Required reasoning. Threat of potential rival can constrain price if barriers are low.

Expected diagram or calculation. For game theory use a labelled two-firm payoff matrix; for cartel use monopoly-like AR/MR/MC diagram.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes oligopoly from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Threat of potential rival can constrain price if barriers are low.

Counterargument and conditions. Entry, enforceability and differentiated strategies vary.

Application and real-world example. UK CMA cloud-service investigation illustrates concentration, not proof of collusion.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | HL | 25 marks

Topic 2.11: Monopolistic competition

(a) [10] Explain how monopolistic competition combines many firms with product differentiation.

(b) [15] Using real-world examples, discuss whether product variety offsets the inefficiency of market power.

Part (a) - Indicative answer and marking guidance

Essential concepts. Many differentiated firms and free entry; short-run profit attracts entry until long-run AR tangent to AC with excess capacity.

Required reasoning. Differentiation gives limited price-making despite free entry.

Expected diagram or calculation. Firm AR down, MR below, AC and MC; short-run profit rectangle; long-run AR tangent AC left of minimum AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopolistic competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Differentiation gives limited price-making despite free entry.

Counterargument and conditions. Variety may benefit consumers despite inefficiency.

Application and real-world example. Differentiated restaurants or retailers are contextual.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | HL | 25 marks

Topic 2.11: Monopolistic competition

(a) [10] Using an appropriate diagram, explain how a monopolistically competitive firm may earn abnormal profit in the short run.

(b) [15] Using real-world examples, evaluate whether abnormal profit persists with free entry.

Part (a) - Indicative answer and marking guidance

Essential concepts. Many differentiated firms and free entry; short-run profit attracts entry until long-run AR tangent to AC with excess capacity.

Required reasoning. At MR=MC, AR above AC; entry shifts individual demand left later.

Expected diagram or calculation. Firm AR down, MR below, AC and MC; short-run profit rectangle; long-run AR tangent AC left of minimum AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopolistic competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At MR=MC, AR above AC; entry shifts individual demand left later.

Counterargument and conditions. Variety may benefit consumers despite inefficiency.

Application and real-world example. Differentiated restaurants or retailers are contextual.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | HL | 25 marks

Topic 2.11: Monopolistic competition

(a) [10] Using an appropriate diagram, explain why entry tends to produce normal profit in the long run under monopolistic competition.

(b) [15] Using real-world examples, discuss whether differentiated firms can retain long-run advantages.

Part (a) - Indicative answer and marking guidance

Essential concepts. Many differentiated firms and free entry; short-run profit attracts entry until long-run AR tangent to AC with excess capacity.

Required reasoning. Rivals attract customers until AR tangent to AC at chosen output.

Expected diagram or calculation. Firm AR down, MR below, AC and MC; short-run profit rectangle; long-run AR tangent AC left of minimum AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopolistic competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rivals attract customers until AR tangent to AC at chosen output.

Counterargument and conditions. Variety may benefit consumers despite inefficiency.

Application and real-world example. Differentiated restaurants or retailers are contextual.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | HL | 25 marks

Topic 2.11: Monopolistic competition

(a) [10] Explain why demand for a monopolistically competitive firm's product is generally more elastic than monopoly demand.

(b) [15] Using real-world examples, evaluate whether a highly differentiated brand can still have close substitutes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Many differentiated firms and free entry; short-run profit attracts entry until long-run AR tangent to AC with excess capacity.

Required reasoning. Many alternatives limit pricing power, though brand loyalty varies.

Expected diagram or calculation. Firm AR down, MR below, AC and MC; short-run profit rectangle; long-run AR tangent AC left of minimum AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopolistic competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Many alternatives limit pricing power, though brand loyalty varies.

Counterargument and conditions. Variety may benefit consumers despite inefficiency.

Application and real-world example. Differentiated restaurants or retailers are contextual.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | HL | 25 marks

Topic 2.11: Monopolistic competition

(a) [10] Using an appropriate diagram, explain why a monopolistically competitive firm can have excess capacity in long-run equilibrium.

(b) [15] Using real-world examples, discuss whether excess capacity should always be viewed as waste.

Part (a) - Indicative answer and marking guidance

Essential concepts. Many differentiated firms and free entry; short-run profit attracts entry until long-run AR tangent to AC with excess capacity.

Required reasoning. Long-run chosen Q at AR-AC tangency lies left of minimum AC, with variety benefit.

Expected diagram or calculation. Firm AR down, MR below, AC and MC; short-run profit rectangle; long-run AR tangent AC left of minimum AC.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes monopolistic competition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Long-run chosen Q at AR-AC tangency lies left of minimum AC, with variety benefit.

Counterargument and conditions. Variety may benefit consumers despite inefficiency.

Application and real-world example. Differentiated restaurants or retailers are contextual.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | HL | 25 marks

Topic 2.11: Concentration

(a) [10] Four largest firms have market shares 30%, 25%, 20% and 10%. Calculate the four-firm concentration ratio and explain its limitation.

(b) [15] Using real-world examples, discuss whether the ratio adequately measures competitive pressure.

Part (a) - Indicative answer and marking guidance

Essential concepts. Concentration ratio sums leading firms market shares; it is not a measure of collusion.

Required reasoning. CR4=85%; ignores smaller rivals, entry threats and firm conduct.

Expected diagram or calculation. No compulsory diagram; add specified shares, not squared HHI values.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes concentration from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. CR4=85%; ignores smaller rivals, entry threats and firm conduct.

Counterargument and conditions. Market boundaries, smaller rivals and entry matter.

Application and real-world example. US DOJ Merger Guidelines address concentration as risk indicator.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | HL | 25 marks

Topic 2.11: Concentration

(a) [10] Explain why defining a market broadly or narrowly changes a concentration ratio.

(b) [15] Using real-world examples, evaluate whether concentration measures alone justify intervention.

Part (a) - Indicative answer and marking guidance

Essential concepts. Concentration ratio sums leading firms market shares; it is not a measure of collusion.

Required reasoning. Shares depend on geographic/product boundary and available substitutes.

Expected diagram or calculation. No compulsory diagram; add specified shares, not squared HHI values.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes concentration from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Shares depend on geographic/product boundary and available substitutes.

Counterargument and conditions. Market boundaries, smaller rivals and entry matter.

Application and real-world example. US DOJ Merger Guidelines address concentration as risk indicator.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | HL | 25 marks

Topic 2.11: Concentration

(a) [10] Explain the difference between a concentration ratio and a measure of collusion.

(b) [15] Using real-world examples, discuss whether a highly concentrated industry must have high prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Concentration ratio sums leading firms market shares; it is not a measure of collusion.

Required reasoning. Ratio describes shares; collusion is conduct requiring separate evidence.

Expected diagram or calculation. No compulsory diagram; add specified shares, not squared HHI values.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes concentration from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Ratio describes shares; collusion is conduct requiring separate evidence.

Counterargument and conditions. Market boundaries, smaller rivals and entry matter.

Application and real-world example. US DOJ Merger Guidelines address concentration as risk indicator.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | HL | 25 marks

Topic 2.11: Concentration

(a) [10] Explain how a merger between two large firms could change the concentration ratio.

(b) [15] Using real-world examples, evaluate whether a merger is necessarily harmful to consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Concentration ratio sums leading firms market shares; it is not a measure of collusion.

Required reasoning. Combined share raises concentration if firms within measured top group, but efficiency may change.

Expected diagram or calculation. No compulsory diagram; add specified shares, not squared HHI values.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes concentration from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Combined share raises concentration if firms within measured top group, but efficiency may change.

Counterargument and conditions. Market boundaries, smaller rivals and entry matter.

Application and real-world example. US DOJ Merger Guidelines address concentration as risk indicator.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | HL | 25 marks

Topic 2.11: Advantages

(a) [10] Explain how economies of scale can reduce costs for a large firm with market power.

(b) [15] Using real-world examples, discuss whether lower costs are passed on to consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Large firms can lower AC through scale and finance R&D from retained profit.

Required reasoning. Spread fixed costs and specialisation can lower AC, price decision remains separate.

Expected diagram or calculation. No compulsory diagram unless explaining falling AC; separate costs from chosen price.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes advantages from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spread fixed costs and specialisation can lower AC, price decision remains separate.

Counterargument and conditions. Passing gains to consumers or successful innovation is not automatic.

Application and real-world example. UK CMA digital and cloud-market material.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | HL | 25 marks

Topic 2.11: Advantages

(a) [10] Explain how abnormal profits may finance research and development.

(b) [15] Using real-world examples, evaluate whether market power is necessary for innovation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Large firms can lower AC through scale and finance R&D from retained profit.

Required reasoning. Retained earnings can fund uncertain R&D, but competitive funding may also exist.

Expected diagram or calculation. No compulsory diagram unless explaining falling AC; separate costs from chosen price.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes advantages from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Retained earnings can fund uncertain R&D, but competitive funding may also exist.

Counterargument and conditions. Passing gains to consumers or successful innovation is not automatic.

Application and real-world example. UK CMA digital and cloud-market material.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | HL | 25 marks

Topic 2.11: Advantages

(a) [10] Explain why a natural monopoly may avoid costly duplication of infrastructure.

(b) [15] Using real-world examples, discuss whether regulation can preserve scale economies while limiting high prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Large firms can lower AC through scale and finance R&D from retained profit.

Required reasoning. Single network has low average cost, oversight may control abuse.

Expected diagram or calculation. No compulsory diagram unless explaining falling AC; separate costs from chosen price.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes advantages from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Single network has low average cost, oversight may control abuse.

Counterargument and conditions. Passing gains to consumers or successful innovation is not automatic.

Application and real-world example. UK CMA digital and cloud-market material.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 2.11: Advantages

(a) [10] Explain why a firm with substantial market power might invest in long-term product development.

(b) [15] Using real-world examples, evaluate whether size alone predicts innovative success.

Part (a) - Indicative answer and marking guidance

Essential concepts. Large firms can lower AC through scale and finance R&D from retained profit.

Required reasoning. Resources and expected returns aid R&D; complacency and weak competition may hinder.

Expected diagram or calculation. No compulsory diagram unless explaining falling AC; separate costs from chosen price.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes advantages from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Resources and expected returns aid R&D; complacency and weak competition may hinder.

Counterargument and conditions. Passing gains to consumers or successful innovation is not automatic.

Application and real-world example. UK CMA digital and cloud-market material.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 2.11: Risks

(a) [10] Explain how a dominant firm may use market power to raise prices and restrict output.

(b) [15] Using real-world examples, discuss whether high prices necessarily show abuse of market power.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market power may restrict Q, raise P, weaken choice and cost discipline.

Required reasoning. Barriers allow price above MC and Q below benchmark, but high costs can also raise price.

Expected diagram or calculation. Use monopoly comparison diagram only when demanded by stem.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes risks from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Barriers allow price above MC and Q below benchmark, but high costs can also raise price.

Counterargument and conditions. High price alone does not prove abuse; costs and quality matter.

Application and real-world example. UK CMA digital and cloud-market inquiries.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 2.11: Risks

(a) [10] Explain how market concentration may limit consumers' choices.

(b) [15] Using real-world examples, evaluate whether fewer firms always imply fewer product options.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market power may restrict Q, raise P, weaken choice and cost discipline.

Required reasoning. Reduced independent suppliers can narrow variety; one large firm may offer multiple options.

Expected diagram or calculation. Use monopoly comparison diagram only when demanded by stem.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes risks from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reduced independent suppliers can narrow variety; one large firm may offer multiple options.

Counterargument and conditions. High price alone does not prove abuse; costs and quality matter.

Application and real-world example. UK CMA digital and cloud-market inquiries.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 2.11: Risks

(a) [10] Explain why a firm with market power may have weaker incentives to lower costs.

(b) [15] Using real-world examples, discuss whether competition always leads to greater efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market power may restrict Q, raise P, weaken choice and cost discipline.

Required reasoning. Protected position reduces pressure, though profits can fund improvements.

Expected diagram or calculation. Use monopoly comparison diagram only when demanded by stem.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes risks from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Protected position reduces pressure, though profits can fund improvements.

Counterargument and conditions. High price alone does not prove abuse; costs and quality matter.

Application and real-world example. UK CMA digital and cloud-market inquiries.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 2.11: Risks

(a) [10] Explain how a price war among oligopolists could affect smaller firms.

(b) [15] Using real-world examples, evaluate whether an observed low price is always evidence of strong competition.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market power may restrict Q, raise P, weaken choice and cost discipline.

Required reasoning. Large firms can absorb losses longer; short-run bargains may precede exit.

Expected diagram or calculation. Use monopoly comparison diagram only when demanded by stem.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes risks from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Large firms can absorb losses longer; short-run bargains may precede exit.

Counterargument and conditions. High price alone does not prove abuse; costs and quality matter.

Application and real-world example. UK CMA digital and cloud-market inquiries.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 2.11: Policy

(a) [10] Explain how competition legislation can respond to abuse of market power.

(b) [15] Using real-world examples, discuss whether legal rules alone restore competition.

Part (a) - Indicative answer and marking guidance

Essential concepts. Legislation, regulation, fines and government ownership can respond to market power.

Required reasoning. Prohibit conduct or mergers; enforcement and market definition matter.

Expected diagram or calculation. No universal policy diagram; explain the intervention mechanism.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Prohibit conduct or mergers; enforcement and market definition matter.

Counterargument and conditions. Enforcement and public-sector incentives complicate success.

Application and real-world example. UK CMA digital markets guidance.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 2.11: Policy

(a) [10] Explain why regulators might impose conditions on a natural monopoly.

(b) [15] Using real-world examples, evaluate whether regulation is preferable to government ownership.

Part (a) - Indicative answer and marking guidance

Essential concepts. Legislation, regulation, fines and government ownership can respond to market power.

Required reasoning. Oversight can limit price/output abuse while maintaining scale economies.

Expected diagram or calculation. No universal policy diagram; explain the intervention mechanism.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Oversight can limit price/output abuse while maintaining scale economies.

Counterargument and conditions. Enforcement and public-sector incentives complicate success.

Application and real-world example. UK CMA digital markets guidance.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 2.11: Policy

(a) [10] Explain how fines can deter collusion when firms expect enforcement.

(b) [15] Using real-world examples, discuss whether fines eliminate collusion.

Part (a) - Indicative answer and marking guidance

Essential concepts. Legislation, regulation, fines and government ownership can respond to market power.

Required reasoning. Expected penalty depends on detection probability and size relative to gains.

Expected diagram or calculation. No universal policy diagram; explain the intervention mechanism.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expected penalty depends on detection probability and size relative to gains.

Counterargument and conditions. Enforcement and public-sector incentives complicate success.

Application and real-world example. UK CMA digital markets guidance.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 2.11: Policy

(a) [10] Explain why government ownership may be considered for a natural monopoly.

(b) [15] Using real-world examples, evaluate whether public ownership guarantees efficient pricing and investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Legislation, regulation, fines and government ownership can respond to market power.

Required reasoning. State may direct access and investment; governance and costs still matter.

Expected diagram or calculation. No universal policy diagram; explain the intervention mechanism.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. State may direct access and investment; governance and costs still matter.

Counterargument and conditions. Enforcement and public-sector incentives complicate success.

Application and real-world example. UK CMA digital markets guidance.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 2.11: Policy

(a) [10] Explain why an investigation into a dominant digital platform may consider both market power and innovation.

(b) [15] Using real-world examples, discuss whether restricting a dominant firm always helps consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Legislation, regulation, fines and government ownership can respond to market power.

Required reasoning. Policy balances exclusion risks with scale, service and investment benefits.

Expected diagram or calculation. No universal policy diagram; explain the intervention mechanism.

Common misconceptions. Do not confuse price taker with price maker, average with marginal, or abnormal profit with monopoly; concentration does not prove collusion. For this question, check specifically that the student distinguishes policy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Policy balances exclusion risks with scale, service and investment benefits.

Counterargument and conditions. Enforcement and public-sector incentives complicate success.

Application and real-world example. UK CMA digital markets guidance.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

G. IB Economics guide, first assessment 2022, Topic 2.11.

Open source

A. UK CMA, cloud services market investigation, 2025.

Open source

B. UK CMA, digital markets competition regime guidance.

Open source

C. US DOJ, 2023 Merger Guidelines and concentration.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; all HL The student paper contains no answers or difficulty labels.